SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Probate Notes

2024PRCE020416: IN THE MATTER OF KATHLEEN ANN WILSON
08/18/2026 in Department J6
Account and Report

This matter was on for hearing on 06/30/26 and continued for a late filed supplement. The Supplement was filed on 06/29/26.

The revised Changes in Form of Assets Schedule attached to the Supplement is the correct format. See Probate Code §1063(b). The court notes the co-conservators state they will use this format going forward.

The following from the supplement require more discussion:

Probate Note-Annuity distributions (total $18,113.41) are reported in Schedule 2 as receipts and in Schedule 5 as disbursements. Explanation?

> **Response** -The annuity payments were disbursed from Jackson National Life annuity by check therefore the money is shown as a disbursement on Schedule 5.

Discussion: Why was the $18,113.41 in annuity payments received from Jackson National Life disbursed to the conservatee?

Probate Note -The estate is paying $1,358.02 to $1,403.86 per month to Jackson National Life for "GMDB Charge." A GMDB charge appears to for "guaranteed minimum death benefit? Is this a reasonable and necessary expense?

> Response -There were 4 GMDB charges during the period of account. The GMDB charges are quarterly not monthly. The election for GMDB charges were set up by the Conservatee and her spouse at the time the annuity was acquired. The Conservator, s do not believe they are currently able to make any changes to those elections The checks from Jackson National Life were deposited into US Bank #3041 and are shown as a receipt on Schedule 2.

Discussion: The court has found the following explanation of a GMDB: “This is an optional or built-in feature in a variable annuity. The charge pays for a safety net. It makes sure your heirs get a set minimum amount of money when you die.”

A total of $5,428.14 was paid in 2024 as a GMDB. As of right now, the conservatee has enough assets to provide for herself. If the situation changes, the conservators may need to reassess the GMDB and work to change it. There appears to be a potential conflict of interest given that conservators are the presumed beneficiaries of the GMDB.

Probate Note: Further, the account states that the conservators sold the conservatee's home located at 1208 Via Viento Suave, San Marcos, CA 92078, on 7/19/24 for $635,000. Sales of real property of the estate are subject to the authorization, confirmation, or direction of the court. (Prob. Code, §2540, subd. (a).) A report of sale and confirmation of sale is also needed. (Prob. Code. §2540, 2541, 2542, 2543.) What authority did the conservators have to sell the house? Was the property the conservatee's former personal residence? The Court notes that the conservators and their counsel do not discuss the propriety of the sale of the real property at all.

> **Response -**The Conservators were In Pro Per at the time the real property was sold. The Conservators reviewed the Court documents and did not see anything in the paperwork that stated they were prevented from selling the real property. The Conservators were unaware they were required to petition the Court for approval to sell the real property. With annual HOA Dues of over $7,000 per year, property taxes of over $4,000 per year and required repairs including water damage, the Conservators concluded the property was a financial loss to maintain. When the decision to sell the property was made, the Conservators first asked family members if they were interested in purchasing the property. All family members said no. The Conservator and her spouse moved to the Lexington in July 2023 and were in the memory care unit. The Conservatee's spouse died September 1, 2023. In December 2023 the Conservatee was moved to Regency Palms to the memory care unit. At the time the real property was sold the Conservatee had not been living in the real property for 1 year. Due to the Conservatee's medical condition requiring memory care the Conservatee was not able to continue to live in her home. Petitioner's respectfully request that the Court approve the sale of the Conservatee' s real property.

Discussion: The response starts off stating, "The Conservators reviewed the Court documents and did not see anything in the paperwork that stated they were prevented from selling the real property. The Conservators were unaware they were required to petition the Court for approval to sell the real property."

The response is insufficient in that the co-conservators both signed the Duties of Conservator and Acknowledgment of Receipt of Handbook for Conservators, which states "When you are appointed by the court as a conservator, you become responsible to the court and assume certain duties and obligations. All of your actions as conservator are subject to review by the court. You should clearly understand the information on this form. You will find additional information in the Judicial Council's Handbook for Conservators, receipt of which, in addition to a copy of this form, you are required by law to acknowledge."

The Handbook for Conservators states, at section G Selling of Borrowing against Estate Assets, "Selling the conservatee's personal residence. Because selling the conservatee's personal residence (as defined in section 4.2, part B, of chapter 4) may have an enormous effect on the conservatee, you must explore all other alternatives first, including in-home care for the conservatee. If no other solution can be found, ***you must obtain special court permission for the sale***."

Co-conservators, in the Supplement state they request that the Court approve the sale of the Conservatee' s real property.

Co-conservators have not provided the court with the information needed to approve the sale of the conservatee's personal residence.

None of the notice requirements were met, the need for the sale has not been established, the terms of the sale of have not been provided, the sale has not been confirmed by the court with an auction, the sales agreement has not been reviewed by the court, and the conservatee's opinion as to the sale (agreement/disagreement) has not been provided.

Discuss removal of co-conservators and appointment of a third party fiduciary.